

goes down. Your money will go farther at the lower rates, so you give up little or nothing in purchasing power.

In summary, one year is long enough to get higher yields than money-market accounts. One year is short enough to keep up with market changes.

What about other liquid investments? In my view, none of them are as simple or secure as CDs. Bonds expose principal to a run-up in rates. Shrewd speculators may make money on stocks, commodities, and options. But few young retirees have the skill or want to devote their time to those risky investments. Zero-coupon bonds, municipal bonds, and Ginnie Maes are similar to bonds in that market value goes down when rates go up.

Some suggest you hire professionals to help you with trickier investments. You can buy into funds that specialize in stocks, bonds, options, or whatever. You don't have the expertise to evaluate tax-free municipal bonds? Buy into a tax-free fund. Those who run the fund take care of buying and selling, finding the best prices, hedging against a run-up in rates, and the like.

The problem with funds is commissions and fees. When you buy into the funds you pay a commission. Those who manage the funds charge a management fee for doing so. When those fund managers buy and sell for the fund's account, the fund pays commissions. The triple whammy can cost 3 percent or 5 percent or more. That cost amounts to a reduction in your yield. If you're not careful, the advertised yield of 10 percent or whatever can translate to much less than that, especially if you move in and out of the funds fairly often.

If you're lucky, or shrewd, or both, you can make good returns on real estate, Ginnie Maes, stocks, foreign exchange, and other investments. Retired friends think my CD plan is too conservative. But CDs throw off the money you need to live without risking your capital. Why fool around with something that can cost you money if it doesn't work out?